

Discount Exception & Promotion Policy

Internal analytical reference — synthetic policy designed around observed discount/profit patterns

Standard discount framework

- Discount is an absolute monetary amount per unit in the supplied Orders data, not a percentage. For policy analysis, the agent may use the observed Discount field directly and, when useful, calculate discount exposure as $\text{Discount} \times \text{Quantity}$.
- Orders with Discount = 0 are treated as non-discounted. Higher discount values should trigger deeper analysis when profitability is weak.

Review thresholds

- Discount above 20% of the gross unit-price-equivalent should be treated as an exceptional pricing signal for analytical review. Because the Orders table stores an absolute per-unit discount, the agent should first derive the implied discount rate consistently rather than comparing the raw Discount value to a percentage threshold.
- Discount levels above 30% warrant a deeper product/customer/order investigation when associated with negative profit.
- Discount levels above 50% should be treated as a high-priority analytical exception unless an approved promotion or negotiated arrangement explains them.

Promotion exceptions

- High discounts may be legitimate during approved promotions, clearance activity, strategic customer agreements, or other commercial campaigns.
- The agent must not label an order as unauthorized solely because its discount is high.
- When an exception explanation is unavailable in the available documents/data, report the high discount as an unresolved business question.

Observed-data rationale

- The supplied data shows a strong deterioration in aggregate ROS as discount levels increase. Orders in the highest discount bucket are substantially loss-making, while zero-discount orders are materially more profitable in aggregate.
- This is an association in the dataset, not proof of causality. The agent should investigate product mix, country, customer concentration and order-level effects before claiming that discounts caused the losses.